(iv) **Financial statements may not represent true and fair view**: Due to the incomplete information and inaccurate records of accounts, the profit or loss calculated from these records cannot be relied upon. It may not represent true profitability. Assets and liabilities may not represent a true and fair view of financial position.

(v) **Suitability**: Only the business concerns which have no legal obligation to maintain books of accounts under double entry system may maintain incomplete records. Hence, it may be maintained by small sized sole traders and partnership firms.

(vi) **Mixing up of personal and business transactions**: Generally, personal transactions of the owners are mixed up with the business transactions. For example, purchase of goods for own use may be mixed up along with business purchases.

1.4 Limitations of incomplete records

Following are the limitations of incomplete records:

(i) **Lack of proper maintenance of records**: It is an unscientific and unsystematic way of maintaining records. Real and nominal accounts are not maintained properly.

(ii) **Difficulty in preparing trial balance**: As accounts are not maintained for all items, the accounting records are incomplete. Hence, it is difficult to prepare trial balance to check the arithmetical accuracy of the accounts.

(iii) **Difficulty in ascertaining true profitability of the business:** Profit is found out based on available information and estimates. Hence, it is difficult to ascertain true profit as the trading and profit and loss account cannot be prepared with accuracy.

(iv) **Difficulty in ascertaining financial position**: In general, only the estimated values of assets and liabilities are available from incomplete records. Hence, it is difficult to ascertain true and fair view of state of affairs or financial position as on a particular date.

(v) **Errors and frauds cannot be detected easily**: As only partial records are available, it may not be possible to have internal checks in maintaining accounts to detect errors and frauds.

(vi) **Unacceptable to government and other authorities**: As accounts maintained are incomplete, these may not comply with the legal requirements. Hence, government, tax authorities and other legal authorities do not accept accounts prepared from incomplete records.

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